

acquisitions of Justdial, Dunzo and the recent launch of FMCG brand 'Independence', have been steps towards getting more integrated in its retail offering, building on its 3 million *kirana* merchant partners... where RIL has more room to raise its penetration versus peers. We currently assume \$4 billion (over ₹32,000 crore) annual investments in retail," their research notes.

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RELIANCE'S RISE in the FMCG space, especially foods, is giving traditional biggies the shivers. Reliance Consumer Products Ltd (RCPL), a wholly owned subsidiary of RRVL, announced a strategic partnership on January 31 with Maliban Biscuit Manufactories, the largest biscuits manufacturer in Sri Lanka that exports to 35 countries. The move came days after the Ambanis had launched their FMCG offensive with umbrella brand Independence, which is expected to offer a wide variety of consumer staples ranging from wheat flour to edible oil. "With this strategic partnership between RCPL and Maliban, we will not only be strengthening our FMCG portfolio through a great brand, but also be able to offer excellent value proposition through quality products to our Indian consumers," said Isha Ambani, the de-facto head of Reliance's retail and consumer goods business. It was one of the many acquisitions and partnerships that RRVL has stitched up in recent times.

For instance, a week before the Maliban tie-up, RRVL had picked up a 50 per cent stake in Gujarat-based Sosyo Hajoori Beverages that sells over 100 flavours of soft drinks under nearly a dozen brands such as Kashmira, Lemee, Ginlim, etc. It also purchased Campa Cola, a do-

GROWING UP

Reliance Retail's physical footprint and manpower have grown steadily over the years

	Q3FY19	Q3FY20	Q3FY21	Q3FY22	Q3FY23
Retail space*	21	26.3	31.2	40	60+
Warehouse and fulfilment centre*	NA	10.6	12.4	17.2	33.6
Number of branded outlets	9,907	11,316	12,201	14,412	17,225
Manpower	104,000	124,000	188,000	285,000	418,000

*IN MILLION SQ. FT **SOURCE** UBS, JPMORGAN, COMPANY DATA

THE MAKING OF A BEHEMOTH

Reliance Retail's net revenues for the nine months of FY23 are already close to its net revenues of FY22

	FY19	FY20	FY21	FY22	9MFY23
Net revenue	1,16,357	1,46,272	1,39,077	1,74,980	1,69,372
EBITDA	6,201	9,683	9,789	12,381	12,840
EBITDA margin (%)	5.3	6.6	7	7.1	7.6
PAT	NA	5,448	5,481	7,055	6,766
PAT margin (%)	NA	3.72	3.94	4.03	4

NET REVENUE, EBITDA AND PAT IN ₹ CRORE

SOURCE MORGAN STANLEY, JPMORGAN, COMPANY DATA

mestic cola brand from the 1970s, and roped in T. Krishnakumar, former president of Coca-Cola India and South West Asia, to head its entire beverages portfolio. Popularly known as KK, the cola industry veteran was instrumental in strengthening Coca-Cola's bottling and distribution operations. According to Abneesh Roy, Executive Director at Nuvama Institutional Equities, Reliance has deployed a dual strategy of firstly acquiring dormant but legacy brands like Campa Cola, which not only have long-term potential but also have great recall value; and secondly, fully or partially acquiring or tying up with existing regional players like Sosyo and

Maliban, or supply chain providers, to get access to distribution, brand and manufacturing capabilities and operate in the same space.

Reliance's list of acquisitions runs long. In the December quarter, it acquired a number of companies, such as V Retail—which sells footwear under the Centro brand—along with Sosyo and Lotus Chocolates. Per Morgan Stanley's analysis, the group has invested \$1.1 billion (over ₹9,000 crore) since 2018 in acquiring companies and brands in the retail space. Currently, its portfolio of owned and partner brands number well over six dozen and they are spread across categories like fashion and apparel,